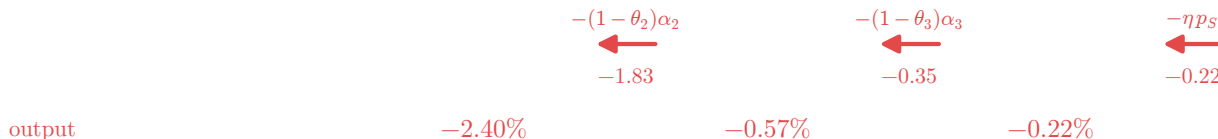
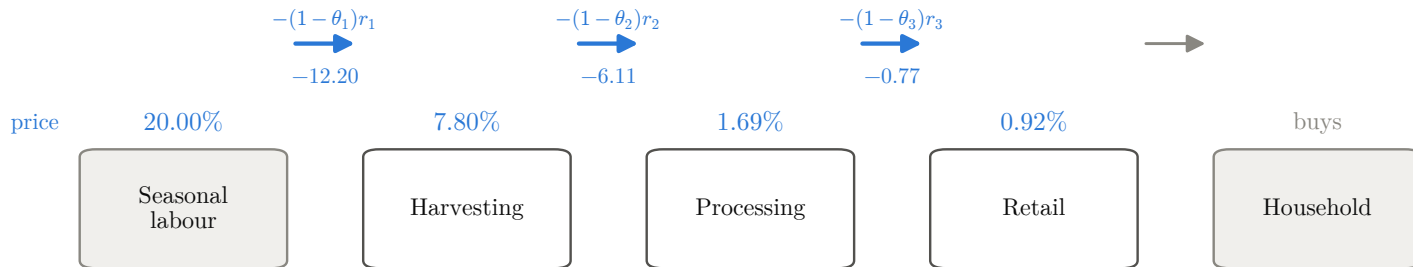


How the example solves itself

Prices fall along the chain by $(1 - \theta_s)r_s$ at each step, and output is then cut by $(1 - \theta_s)\alpha_s$ at each step coming back. Nothing feeds back, so one pass each way solves it.

The price pass. Down the chain, once.



The quantity pass. Back up it, once.

Source: the model of Section 4, calibrated in Section 5. Supply of each stage's own inputs is perfectly elastic and pay is not indexed, so no wage moves and the matrix is lower triangular.